China+1: Can Pakistan Become China's Next Manufacturing Base?

The China+1 opportunity, investment barriers and sector level competitiveness

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30 August 2026

Central investment thesis under test

Pakistan may offer a compelling China+1 manufacturing opportunity in selected sectors, where domestic demand, labour availability, import substitution, geographic position and Chinese technology together compensate for weaknesses in energy, infrastructure, regulation and foreign exchange. This report tests that proposition against the evidence. It concludes that the proposition is qualified: the compensating factors hold when the customer is Pakistani, and they fail when the product has to leave the country. The opportunity is sector specific.

Reference: ARS-PB-2026-002

Suggested citation: Khan, R. (2026). China+1: Can Pakistan Become China's Next Manufacturing Base? Ardent Research Solutions. www.arspakistan.pk

All scores, matrices and index values marked ARS are the analytical product of Ardent Research Solutions. Their methodology is set out in the final section.

1. The Investment Question

Can Pakistan become a commercially viable China+1 manufacturing base for Chinese companies?

The honest answer depends on a single distinction that most country level assessments of Pakistan skip over. Pakistan combines a domestic market of more than 250 million people with one of the most expensive industrial energy environments in Asia. Those two facts pull in opposite directions, and which one dominates depends on where the finished product is sold. For a manufacturer supplying Pakistani customers, the market scale is the governing variable. For a manufacturer shipping abroad, the cost of power and of moving goods usually decides the outcome before anything else is considered.

ARS View

Pakistan is competitive on labour cost, on domestic market scale and on compatibility with Chinese supply chains. It is uncompetitive on industrial energy cost, export logistics, regulatory predictability and security. Industrial electricity at roughly 13.5 to 15.7 US cents per kWh, against 7.7 cents in China and 6.3 cents in India, is the most damaging single variable, because it weighs most heavily on exactly the energy intensive export sectors that made Vietnam and Bangladesh work as China+1 bases. What remains is narrower but genuine: import substituting manufacture for a very large domestic market, in sectors where Chinese technology already dominates and capital intensity is moderate. ARS scores Pakistan 54 out of 100 and rates it SELECTIVE. The thesis is qualified, not rejected.

Key Findings

1. Pakistan is a market to serve rather than a platform to export from. Merchandise exports fell 5.9% to USD 30.13 billion in FY2026 while imports rose (Pakistan Bureau of Statistics 2026) to USD 69.6 billion, producing a trade deficit of USD 39.5 billion, the widest in four years. Textiles, which supply 55% to 60% of export earnings, were flat at USD 17.93 billion.

2. Energy, not labour, is the binding constraint. Industrial tariffs have come down substantially, from Rs 62.33 per kWh in March 2024 to Rs 46.31 by January 2026, a reduction of 26% (National Electric Power Regulatory Authority 2026). Pakistan still pays roughly double China's industrial rate in dollar terms.

3. Chinese capital already dominates the field it would be entering. China supplied USD 862 million of Pakistan's USD 1.637 billion in net FDI in FY2026 (State Bank of Pakistan 2026), or 52.7%. Total FDI fell 34% year on year and amounts to 0.39% of GDP.

4. Labour is cheap and under skilled at the same time. The minimum wage rises to between Rs 40,000 and Rs 40,700 a month from July 2026, roughly USD 143, with average formal sector pay near USD 268. The ILO estimates that 30% to 40% of formal sector workers are paid below the legal minimum, so the headline number understates compliance exposure rather than labour cost.

5. Zone supply has grown faster than zone readiness. Approved zones under the CPEC framework rose from 7 in 2019 to 44 by early 2026 (China-Pakistan Economic Corridor Secretariat 2026), while the four flagship zones continue to report power, approval and security problems. Zone count is not capacity.

6. Security is a location variable rather than a general discount. At least 20 Chinese nationals have been killed and 34 injured since 2021, with incidents concentrated in Balochistan and around corridor infrastructure. A plant in Faisalabad and a mine in Chagai do not carry the same risk.

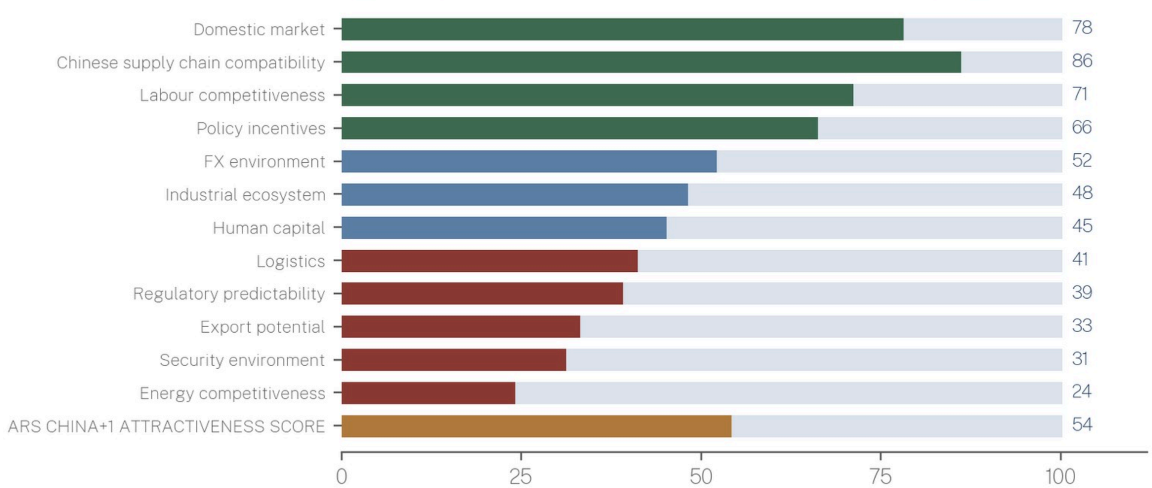
7. The strongest sectors are the ones Pakistan already imports at scale from China. Cumulative solar imports reached roughly 36 GW by mid 2025, more than 94% of Chinese origin, at approximately USD 2.1 billion in 2024 alone.

INVESTMENT IMPLICATION What follows is sector selection rather than country selection. At country level the answer is neither yes nor no. Roughly a third of the manufacturing economy is investable on current evidence and the rest is not.

2. ARS Pakistan China+1 Investment Scorecard

Figure 1 sets out the ARS Pakistan China+1 Investment Scorecard for August 2026.

Figure 1 | ARS Pakistan China+1 Investment Scorecard, August 2026



Scores 0 to 100, higher is better. Weights: domestic market 15, energy 12, labour 10, industrial ecosystem 10, Chinese compatibility 10, logistics 8, export potential 8, incentives 7, regulatory predictability 7, FX 6, security 4, human capital 3. Composite verdict: SELECTIVE.

The scorecard rates Pakistan across twelve dimensions and produces a weighted composite of 54 out of 100. ARS classifies that as SELECTIVE, meaning the country supports defined sector positions and does not support general manufacturing relocation.

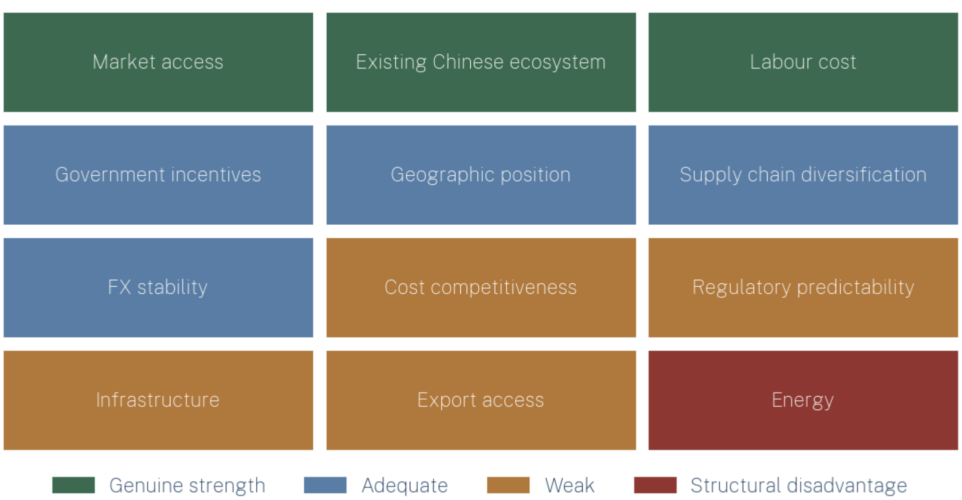
Compatibility with Chinese supply chains scores highest at 86, followed by domestic market at 78 and labour at 71. At the bottom sit energy competitiveness at 24, security at 31 and export potential at 33. The weighting is deliberately tilted toward the variables that set unit economics rather than those that ease entry, which is why energy carries 12 points and incentives only 7. A scorecard weighted the other way would flatter Pakistan considerably, and would mislead anyone using it to model a factory.

3. Why China+1, and Which of Its Objectives Can Pakistan Satisfy?

Chinese manufacturers who move production abroad are usually solving for tariff and geopolitical exposure, rising domestic costs, proximity to customers, or supply chain resilience. Vietnam, Thailand and Indonesia have absorbed most of that capital because they satisfied several of those objectives at once, pairing low input costs with export infrastructure and preferential trade access. Pakistan satisfies a different and smaller subset.

Figure 2 maps what Chinese manufacturers typically seek from a China+1 base against Pakistan's performance on each requirement.

Figure 2 | What Chinese manufacturers want from a China+1 base, and how Pakistan scores



The pattern in the figure is unusually clean. Every requirement Pakistan meets well concerns selling into the country. Almost every requirement it fails concerns producing efficiently for markets outside it. Market access, Chinese industrial presence and labour cost are genuine strengths. Incentives, geography, diversification value and, more recently, foreign exchange are adequate. Overall cost competitiveness, regulatory predictability, infrastructure and export access are weak, and energy is a structural disadvantage rather than a temporary one.

> **INVESTOR TAKEAWAY** If the China+1 objective is tariff arbitrage or export diversification, Pakistan does not qualify and the shortlist should be Vietnam, Thailand or Indonesia. If the objective is to capture a large and heavily import dependent domestic market using Chinese technology, Pakistan belongs on the list.

4. Advantages, Constraints and the Distance Between Them

Pakistan's structural advantages are demographic and positional. A population above 250 million supports real domestic scale in vehicles, appliances, food, construction materials and energy equipment. Labour is abundant and inexpensive by regional standards. The industrial base is narrow but established, covering textiles, vehicle assembly, cement, fertiliser, pharmaceuticals and food processing, with a vendor ecosystem built over three decades of licensed assembly. Cotton, sugar, rice, dairy and horticultural raw material are available domestically. Karachi and Port Qasim reach Gulf, East African and South Asian markets, and there is land connectivity to western China that competing destinations do not have.

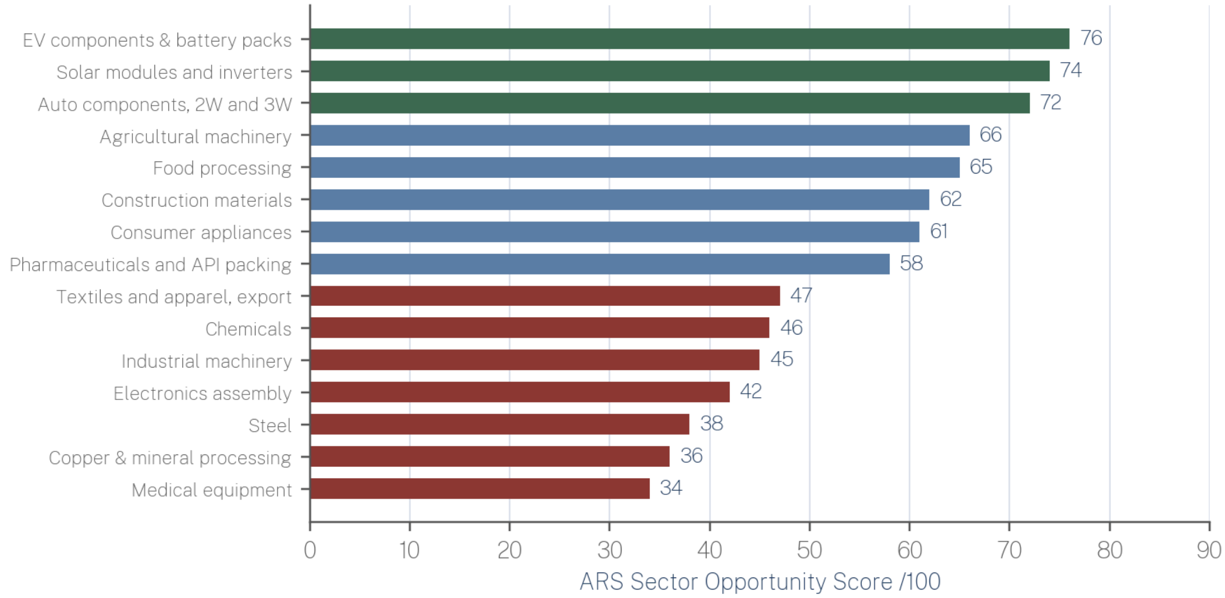
The constraints are cost and institutional, and they are more binding than the advantages are enabling. Industrial electricity is the most expensive input in the region relative to the value of what it produces. Export performance is deteriorating rather than improving: FY2026 exports fell 5.9% and merchandise exports missed the annual target by USD 4.87 billion (Pakistan Bureau of Statistics 2026). Foreign investment is thin and concentrated, with more than 90% arriving from five countries. Regional trade access is poor, with exports to nine neighbouring countries down 18.6% in the first half of FY2026 and the Afghanistan border closed since October 2025.

Human capital is the quiet constraint. Technical and supervisory skills are scarce enough that most new plants linked to Chinese investors budget for imported supervision through the first two or three years of operation, which is a real cost and rarely appears in incentive comparisons.

5. Where Can Pakistan Win?

Figure 3 ranks fourteen manufacturing sectors on the ARS China+1 Sector Opportunity Matrix.

Figure 3 | ARS China+1 Sector Opportunity Matrix



Green: priority. Blue: selective. Red: wait or avoid. Nine weighted criteria, disclosed in the methodology note.

Sectors are scored against nine weighted criteria: domestic market potential (20), China+1 fit (15), localisation potential (15), Chinese competitive advantage (15), import dependence (10), capital requirement inverted (10), policy support (5), energy and infrastructure requirement inverted (5), and combined FX, regulatory and security risk inverted (5).

One pattern runs through the top of the ranking. Every sector scoring above 70 is one in which Pakistan already imports heavily from China, sells to a domestic customer, consumes moderate amounts of power, and adds value through assembly rather than primary processing. EV components and battery packs lead at 76, consistent with the conclusions of the companion electric vehicle brief (Ardent Research Solutions 2026). Solar modules and inverters follow at 74, which reflects the largest single import substitution gap in the economy. Two and three wheeler components score 72, supported by a motorcycle market approaching 2 million units a year in which local content already exceeds 90%.

The middle band, between 55 and 70, covers agricultural machinery, food processing, construction materials, consumer appliances and pharmaceutical packing. These are viable investments constrained by fragmented distribution and thin local supplier depth rather than by cost.

The bottom of the table deserves more attention than it usually receives, because it contradicts the conventional case made for Pakistan. Export oriented textiles score 47, despite textiles being the country's largest manufacturing sector, precisely because energy cost dominates spinning and processing economics and Pakistani mills are already losing share at present tariffs.

Steel and mineral processing sit in the thirties once energy and security exposure are combined. Electronics assembly scores 42, since component supply chains are absent and imports serve the domestic market efficiently.

> **COMMERCIAL CONSEQUENCE** The two sectors most often promoted to Chinese investors, textiles and mineral processing, are among the weakest on the evidence assembled here. The sectors that score well share a common shape: import Chinese intermediate goods, assemble locally at moderate energy intensity, sell to Pakistani buyers.

6. The Chinese Advantage, and What It Does Not Cover

Chinese companies enter Pakistan with advantages unavailable to other foreign investors, and these partially offset the country's weaknesses.

The first is continuity of supply. In solar, more than 94% of imported equipment is Chinese, shipped from Ningbo Zhoushan and Shanghai with sixteen to twenty days of transit to Karachi or Port Qasim. A Chinese manufacturer localising assembly is therefore shortening a supply chain it already operates rather than building a new one. The second advantage is technological, and it applies to precisely the categories Pakistan buys in volume: photovoltaic modules, inverters, lithium cells, motors, controllers and small vehicle drivetrains.

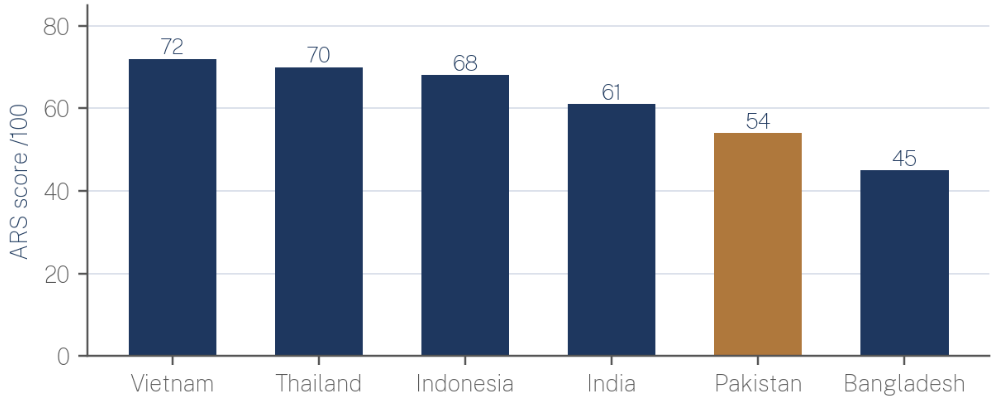
The third is institutional. China accounted for 52.7% of net FDI in FY2026 (State Bank of Pakistan 2026) and has been the largest single source in every recent monthly release, including USD 63.2 million out of USD 178.6 million in July 2026. That incumbency brings banking relationships, a resident business community, government access through the CPEC framework and established precedent for joint venture structures. The fourth is financing. Chinese equipment vendors routinely extend supplier credit on terms Pakistani banks cannot match, which matters more than it might appear in a market where credit processing, rather than demand, has been the constraint on subsidised segments.

These advantages are concentrated at the point of entry and along the supply chain. They shorten time to market and ease working capital. They do not fix the electricity bill. An investor should use them to move early in sectors that already work, and should not treat them as a reason to enter sectors that do not.

7. Why Pakistan Instead of Vietnam or Indonesia?

Figure 4 places Pakistan's composite score alongside the five destinations that compete for the same investment.

Figure 4 | ARS China+1 Competitiveness Score: Pakistan against alternative destinations



ARS composite, consistent with the scoring applied in ARS-PB-2026-001. Weights: domestic market 20, policy stability 20, industrial base 15, FX and repatriation 15, cost base 10, export access 10, logistics 10.

Table 1 sets the same criteria against the destinations that most often appear on the same shortlist.

Table 1 | Pakistan Against Alternative China+1 Destinations

Criterion	Pakistan	Vietnam	Indonesia	Bangladesh
Labour cost	Very low	Low	Low to moderate	Lowest
Domestic market scale	Large, above 250 million	Moderate	Large	Large, lower income
Industrial energy cost	Weakest in the comparator set	Competitive	Competitive	Comparable to Pakistan
Export infrastructure	Weak	Strong	Moderate to strong	Moderate
Trade agreement access	Limited	Extensive: CPTPP, EVFTA, RCEP	RCEP	LDC preferences, expiring
Chinese industrial presence	Concentrated, state linked	Deep, private sector led	Deep, resource linked	Moderate
Regulatory predictability	Low	Moderate to high	Moderate	Low to moderate
FX and repatriation	Improved, programme dependent	Stable	Stable	Constrained
Security	Elevated, location specific	Low	Low to moderate	Moderate

ARS comparative assessment. Ratings reflect relevance to a Chinese manufacturing investor rather than general country risk scores.

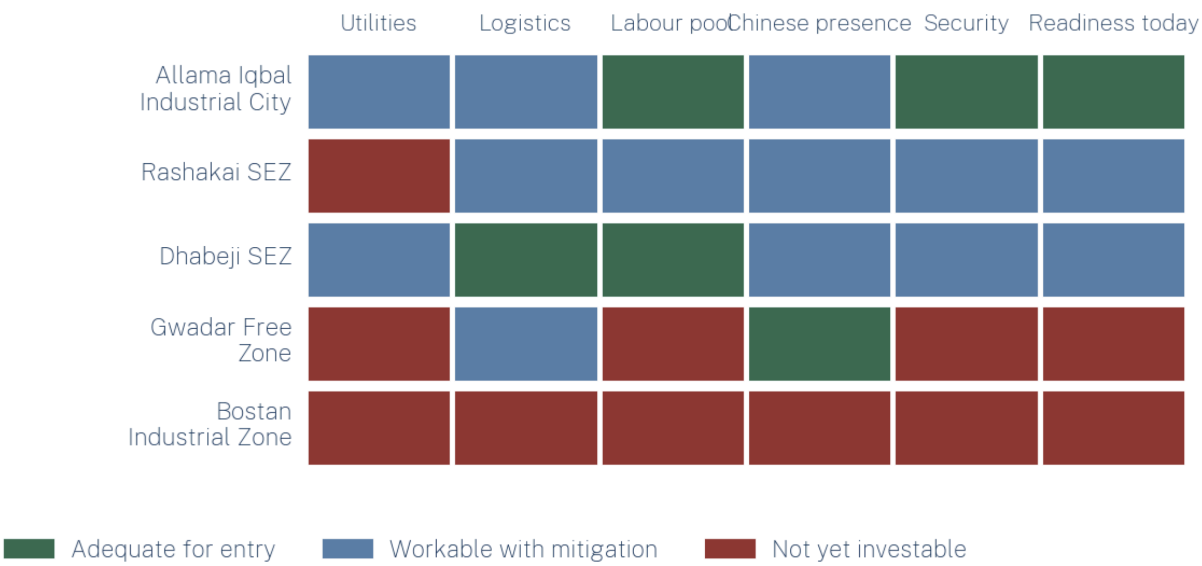
Pakistan loses on export infrastructure, trade access, regulatory predictability and security. It loses decisively on the combination that defines the classic China+1 investment, which is cheap power feeding an export line. It wins on labour cost, on Chinese incumbency, and against Vietnam and Thailand specifically on the size of its domestic market relative to how little of that market is supplied locally. The composite score of 54 places it fifth of six, ahead only of Bangladesh, and this ranking is deliberately consistent with the scoring ARS applied in its August 2026 electric vehicle brief (Ardent Research Solutions 2026).

> **DECISION POINT** There is no defensible case for choosing Pakistan over Vietnam or Indonesia as an export base. There is a defensible case for adding Pakistan to them, for the specific purpose of serving a domestic market that neither can supply from a distance at competitive landed cost.

8. Industrial Infrastructure and SEZ Readiness

Figure 5 applies the ARS SEZ Investor Readiness Framework to the five zones most often presented to Chinese investors.

Figure 5 | ARS SEZ Investor Readiness Framework



Nine special economic zones were designated in the first CPEC phase, of which four were described as being at an advanced stage: Allama Iqbal Industrial City in Faisalabad, Rashakai in Khyber Pakhtunkhwa, Dhabeji in Sindh and Bostan in Balochistan. Approved zones under the wider CPEC 2.0 framework have since risen to 44 (China-Pakistan Economic Corridor Secretariat 2026). Designation has outpaced delivery by a considerable margin. Independent assessments continue to identify slow implementation, bureaucratic delay and security concerns across the flagship zones, and a Chinese firm at Rashakai has publicly warned that power outages were threatening industrial cooperation there.

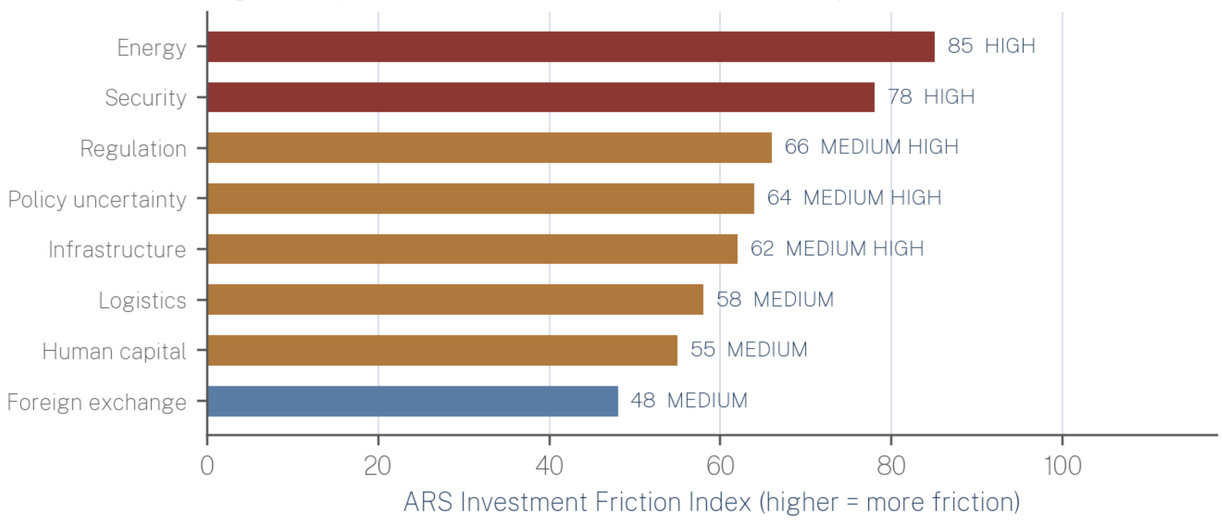
Of the zones assessed, Allama Iqbal Industrial City is the most investable today. It draws on an established Faisalabad industrial workforce, utilities that function better than those of its peers, reported occupancy of approximately 73% in nearby industrial clusters in late 2025, and a comparatively low security risk. Dhabeji ranks second, almost entirely on logistics: proximity to Port Qasim removes inland transport from the cost structure of import dependent assembly, and the zone has already attracted visits and proposals from Chinese solar, inverter and battery firms. Rashakai is workable if utility supply is mitigated at the tenant's own cost. Gwadar Free Zone and Bostan are not, in ARS's assessment, currently investable for manufacturing that requires reliable power, a skilled workforce and predictable supply chain access.

Tax incentives are broadly similar across zones, so they should not drive the decision. For import dependent assembly, Dhabeji's port proximity is worth more than any additional exemption. For labour intensive assembly, Faisalabad's existing workforce is worth more than either.

9. What Could Stop the Thesis Working?

Figure 6 decomposes the ARS Investment Friction Index into its eight component dimensions.

Figure 6 | ARS Investment Friction Index: composite 64, elevated

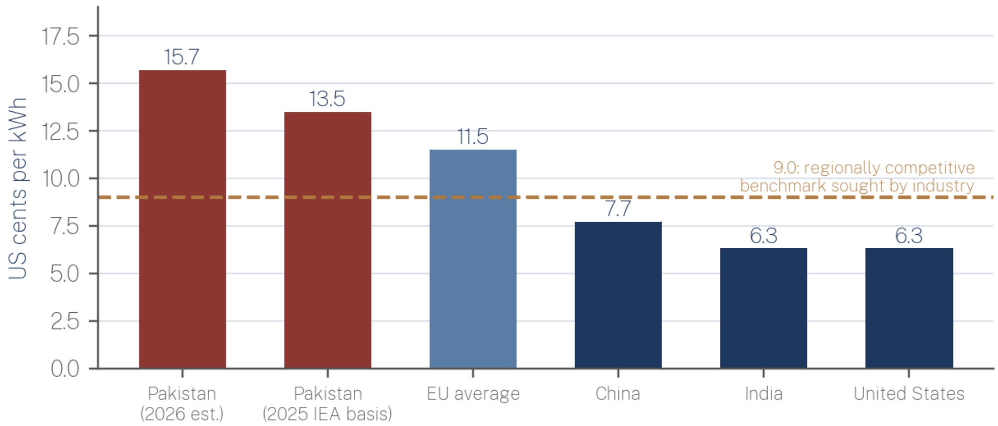


Energy is rated HIGH, scoring 85. Tariffs have fallen materially, from Rs 62.33 per kWh in March 2024 to Rs 46.31 by January 2026 (National Electric Power Regulatory Authority

2026), and a package approved in October 2025 offers an incremental rate of Rs 22.98 (Power Division 2025) per unit on consumption above a reference baseline, greenfield industry included. Neither measure closes the international gap, and industry associations continue to press for a regionally competitive rate near 9 US cents. The precedent is instructive. When a competitive tariff was previously in force, textile exports rose by more than 50% in a year and then stopped growing once it was withdrawn. That sequence is direct evidence that price of power, rather than manufacturing capability, is the swing variable.

Figure 7 compares Pakistan's industrial electricity cost with that of competing manufacturing locations.

Figure 7 | Industrial electricity cost: Pakistan against competing manufacturing locations



Comparator rates are IEA figures reported for 2025 and are not restated for 2026; the Pakistan estimate is from 2026 commentary. ARS treats the gap as directionally reliable rather than precisely current.

Security scores 78 and is also rated HIGH, though the number conceals wide variation by location. At least 20 Chinese nationals have been killed and 34 injured since 2021, with attacks concentrated in Balochistan, along corridor infrastructure and around resource projects. A federal Special Protection Unit with a proposed budget of approximately USD 260 million has been announced. It remains a commitment rather than a demonstrated capability, and should be treated as such until it has operated through a full year.

Regulation, policy uncertainty and infrastructure are all rated MEDIUM HIGH, reflecting federal and provincial overlap, the annual revision of tariff and tax concessions, and utility reliability. Logistics and human capital are MEDIUM. Foreign exchange is the one dimension that has genuinely improved: repatriation of profits and dividends reached USD 2.305 billion in FY2026 with no reported official backlog (State Bank of Pakistan 2026).

Total FDI fell 34% over the same period, which suggests that easier convertibility has not yet translated into confidence.

WHAT THIS MEANS FOR INVESTORS A composite friction score of 64 is elevated without being disqualifying for domestic market investment, because local pricing can absorb part of the input cost. For export investment the same friction has to be absorbed out of margin, and at that point it becomes decisive.

10. Policy Incentive Reality Check

Table 2 sets each headline incentive against what an investor should expect it to be worth in practice.

Table 2 | Policy Incentives Against Investor Reality

Incentive	Government proposition	Investor reality	ARS assessment
SEZ tax holiday and duty free plant import	Ten year income tax exemption, one time duty free capital import	Value depends on zone utilities actually working; several flagship zones report interruption	Real but conditional. Verify supply before valuing the exemption
EV and battery concessions	Concessional CKD and component duties, 1% sales tax on locally made EVs	Extended only to 30 June 2027 and revised in most budget cycles	Do not capitalise beyond the stated expiry
Industrial power package	Incremental rate of Rs 22.98 per unit above baseline, three years	Applies to incremental load, not the full load; the baseline definition decides the value	Improves expansion economics. Does little for greenfield base cost
Localisation policy	Local content deepens over time	Low kit duties keep importing rational; escalation schedules sit in unenacted policy	Objective and tariff structure diverge. Assume assembly economics persist
Export incentives	Support schemes for exporters	Exports fell 5.9% in FY2026 and missed target by USD 4.87 billion	Insufficient to offset the energy cost disadvantage
FX and repatriation rules	Free repatriation of profits and dividends	USD 2.305 billion repatriated in FY2026, backlog cleared, but recent and programme dependent	Improved. Model a stress case rather than a crisis case

ARS assessment. Incentive terms are as reported for the FY2027 budget cycle and should be verified against current statutory notifications before commitment.

The pattern across the table is consistent. Pakistani incentives are generous where they reduce the cost of arriving and weak where they would reduce the cost of operating. That distinction determines whether a plant is still competitive in its fifth year, and it is the question an investment committee should put to any zone authority before signing.

11. Three Investor Archetypes

The following are illustrative constructions used to translate country level analysis into decision terms. They do not describe real companies or transactions.

Table 3 translates the country level analysis into three illustrative investment cases.

Table 3 | Three Illustrative Investor Archetypes

Variable	Investor A: EV component maker	Investor B: Solar module and inverter maker	Investor C: Export textile manufacturer
Capital requirement	Low to moderate. Pack assembly and BMS integration	Moderate. Module lamination and inverter assembly	High. Spinning and processing are capital and energy heavy
Market	Domestic 2W and 3W, plus stationary storage	Domestic replacement and new installation demand	Third country export, competing with Vietnam and Bangladesh
Inputs	Imported Chinese cells and controllers	Imported Chinese cells, glass, EVA, backsheet	Domestic cotton, imported machinery
Energy intensity	Low	Low to moderate	High. The decisive variable
Preferred location	Faisalabad or Karachi industrial areas	Dhabeji, for port proximity	Punjab textile cluster
FX exposure	Continuous import payments against rupee revenue	Continuous import payments against rupee revenue	Natural hedge from export receipts
Export potential	Limited in the near term	Possible into regional markets, unproven	The entire business case
Principal risk	Policy expiry June 2027, component FX	Duty treatment of cells against finished modules	Industrial electricity cost
ARS assessment	PROCEED, phased, modest capital	PROCEED, subject to duty verification	DO NOT PROCEED at current tariffs

Illustrative archetypes constructed by ARS. Not descriptions of actual companies, transactions or commitments.

Investor A succeeds if the concessional regime survives past June 2027 in some recognisable form and if a captive or partnered financing channel exists for end customers. Investor B succeeds if duty treatment continues to favour local assembly over finished module imports, which is a policy variable rather than a market one, and if panel demand holds as grid tariff and net metering rules change. Investor C succeeds only at an industrial electricity rate near 9 cents per kWh sustained across the investment horizon.

> **ARS ASSESSMENT** Two of the three archetypes proceed. The one that fails is the sector Pakistan is best known for, which is the clearest available illustration of why enthusiasm at country level and economics at sector level diverge in this market.

12. ARS Investment Signal

Figure 8 consolidates the sector analysis into a single investment signal.

Figure 8 | ARS Investment Signal for Chinese manufacturers considering Pakistan

GO	WATCH	WAIT / AVOID
EV components and battery packs	Agricultural machinery	Export oriented textiles
Solar module and inverter assembly	Food processing	Industrial machinery
Two and three wheeler auto parts	Construction materials	Electronics assembly
	Consumer appliances	Steel
	Pharmaceutical packing	Mineral processing
		Medical equipment

Five opportunities stand out over a three to five year horizon.

EV battery packs and drivetrain components rank first. Import dependence is close to total, minimum efficient scale is low, and legislated subsidy supports demand through at least FY2027. Solar module and inverter assembly ranks second, on the strength of roughly 36 GW of cumulative imports, more than 94% of Chinese origin, against no meaningful domestic manufacturing. Two and three wheeler components rank third, where local content already exceeds 90% and the addressable market approaches 2 million units a year. Agricultural machinery ranks fourth, on durable domestic demand and Chinese equipment that is already the reference standard. Food processing ranks fifth, where raw material is domestic, energy intensity is moderate, and the real constraint is cold chain rather than cost.

All five rest on the same four conditions: a Pakistani customer, Chinese technology, moderate energy intensity, and a site in Punjab or Sindh rather than Balochistan or Gwadar. Where any one of those fails, the case weakens quickly, which is why steel, mineral processing and export textiles fall into the wait or avoid band despite substantial nominal opportunity.

13. What Would Move Pakistan from Selective to Strong?

Table 4 lists the indicators ARS monitors and the thresholds at which the present rating would be revised.

Table 4 | Indicators That Would Change the ARS Assessment

Indicator ARS monitors	Current position	Threshold that would change the ARS view
Industrial electricity tariff	Approximately 13.5 to 15.7 US cents per kWh	A sustained rate at or below 9 cents for manufacturing at scale
Merchandise exports	USD 30.13 billion in FY2026, down 5.9%	Two consecutive years of growth, with a widening non textile share
Net FDI	USD 1.637 billion, 0.39% of GDP, 52.7% Chinese	Above 1% of GDP, with diversification of source countries
Policy durability	Concessions renewed annually, expiry 30 June 2027	A multi year tariff and incentive schedule enacted in statute
SEZ utility performance	Power interruption reported at flagship zones	Verified uninterrupted supply at two or more zones
Security incidents	At least 20 Chinese nationals killed since 2021	A sustained decline, with the Special Protection Unit operational
Repatriation	USD 2.305 billion in FY2026, no reported backlog	Backlog free through a full external account stress cycle
Local supplier depth	Strong in 2W and 3W, absent in power electronics	Emergence of a tier 2 supplier base in power electronics

ARS monitoring framework. These are the observable indicators ARS would track before revising the SELECTIVE rating.

14. ARS Conclusion

The evidence qualifies the central thesis. Pakistan's domestic market, labour pool, geographic position, incentives and compatibility with Chinese supply chains do compensate for structural weakness in a defined group of sectors, and they conspicuously fail to compensate in another. Where the customer is domestic and energy intensity is moderate, the compensation works. Where the product must compete on landed cost in a third market, it does not, because that is exactly the situation in which the electricity disadvantage and the export infrastructure gap are paid for out of margin.

Three risks matter most to a Chinese manufacturing investor. Industrial energy cost comes first, and it is structural rather than cyclical. Location specific security exposure comes second, manageable through site selection but not through insurance alone. Policy discontinuity comes third: the concessions supporting the strongest sectors expire on 30 June 2027 and have historically been renewed a year at a time.

One policy change would improve the investment case more than any other. A durable industrial electricity tariff at regionally competitive levels, held across several years rather than announced for one, would move several sectors out of the wait band, and on the evidence of the earlier tariff experiment it would revive export manufacturing directly.

> **ARS Investment View**
>
> SELECTIVE. ARS China+1 Attractiveness Score 54 out of 100. Investment Friction Index 64, elevated. Pakistan warrants targeted investment by Chinese manufacturers in import substituting products of moderate energy intensity sold to domestic customers, principally EV components, solar assembly, small vehicle parts, agricultural machinery and food processing, sited in Punjab or Sindh. It does not currently warrant investment in export oriented or energy intensive manufacturing, and no incentive package presently on offer changes that conclusion. Entries should be structured so that they can be scaled if the energy tariff moves, and contained if it does not.

15. Methodology, Sources and Data Integrity

Primary sources include the State Bank of Pakistan for foreign investment and repatriation data, the Pakistan Bureau of Statistics for trade and export data, the National Electric Power Regulatory Authority and the Power Division for tariff decisions, the Board of Investment and the CPEC Secretariat for zone status, and federal budget documentation for the FY2027 cycle. Comparative energy prices are International Energy Agency figures as reported (International Energy Agency 2025). Full details of the sources cited in the text appear in the reference list. Secondary sources include Business Recorder, Profit, Dawn, Reuters and specialist industry trackers, together with independent institutional assessments of CPEC zone performance.

Scores are hybrid rather than purely quantitative. Each variable is assessed against the evidence cited and expressed on a 0 to 100 scale in which a higher score is always more favourable, with risk dimensions inverted so that low risk scores high. Weights are disclosed at the point of use. Where evidence is thin, the score reflects the weight of available evidence rather than an assumed midpoint, and the report says so in the relevant section. These are transparent analytical judgements and should not be read as carrying more statistical precision than the underlying data supports.

Three data integrity qualifications apply. The minimum wage for the coming fiscal year is reported both as Rs 40,000 and as Rs 40,700; ARS uses the range rather than selecting between them, since the difference does not affect the analysis and the provincial rate ultimately governs. Comparative industrial electricity prices combine a 2026 Pakistani estimate with IEA comparator figures reported for 2025, so the gap is directionally reliable rather than precisely contemporaneous. Announcements of Chinese manufacturing projects, including several solar and battery plants, are treated throughout as announcements rather than as committed or completed investments, and none has been counted as installed capacity.

This brief is standalone market intelligence. The questions it leaves open are company specific: which Pakistani firms are credible joint venture partners in a given segment, what a defined project would cost to build and to run at a named zone, how a particular duty structure applies to a specific bill of materials, and how a defined investment would model against a Vietnamese or Indonesian alternative. Ardent Research Solutions produces sector attractiveness assessments, China+1 feasibility studies, partner identification, zone assessments and regulatory due diligence for institutional and corporate clients evaluating entry into Pakistani markets.

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